Release,[698] Clearing Agency Governance Adopting Release,[699] the Treasury Clearing Adopting Release,[700] the Rule 605 Adopting Release,[701] the Customer Notification Adopting Release,[702]

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698 Short Position and Short Activity Reporting by Institutional Investment Managers, Release No. 34-98738 (Oct. 13, 2023), [88 FR 75100 (Nov. 1, 2023)] ("Short Position Reporting Adopting Release"). Under the new rule, institutional investment managers that meet or exceed certain specified reporting thresholds are required to report, on a monthly basis using the related form, specified short position data and short activity data for equity securities. The compliance date is Jan. 2, 2025. See Short Position Reporting Adopting Release, section VI. In addition, the Commission adopted an amendment to the national market system ("NMS") plan governing the consolidated audit trail ("CAT") created pursuant to the Exchange Act to require the reporting of reliance on the bona fide market making exception in the Commission's short sale rules. The Commission published the text of the amendment to the NMS plan governing the CAT ("CAT NMS Plan") in a separate notice. The compliance date for the amendment to the CAT NMS Plan is July 1, 2025. See Notice of the Text of the Amendment to the National Market System Plan Governing the Consolidated Audit Trail for Purposes of Short Sale-Related Data Collection, Release No. 34-98739 (Oct. 13, 2023) [88 FR 75079 (Nov. 1, 2023)].

699 Clearing Agency Governance and Conflicts of Interest, Exchange Act Release No. 34-98959 (Nov. 16, 2023) [88 FR 84454 (Dec. 5, 2023)] ("Clearing Agency Governance Adopting Release"). The Clearing Agency Governance Adopting Release establishes Rule 17Ad-25 for new governance requirements for registered clearing agencies. These include requirements for independent directors and for the composition of a registered clearing agency's board of directors, nominating committee, and risk management committee; requirements to identify and document existing or potential conflicts of interest involving directors or senior managers, and mitigate or eliminate and document the mitigation or elimination of such conflicts; and requirements for policies and procedures obligating directors to report conflicts of interest, managing risks from relationships with service providers, and requiring boards to solicit, consider, and document their consideration of the views of participants and other relevant stakeholders. The compliance date for Rule 17Ad-25 is Dec. 5, 2024, except that the compliance date for the independence requirements of the board and board committees in Rules 17Ad-25(b)(1), (c)(2), and (e) is Dec. 5, 2025. See Clearing Agency Governance Adopting Release, section III.

700 Standards for Covered Clearing Agencies for U.S. Treasury Securities and Application of the Broker-Dealer Customer Protection Rule with Respect to U.S. Treasury Securities, Release No. 34-99149 (Dec. 13, 2023) [89 FR 2714 (Jan. 16, 2024)] ("Treasury Clearing Adopting Release"). Among other things, the amendments require covered clearing agencies for U.S. Treasury securities to have written policies and procedures reasonably designed to require that every direct participant of the covered clearing agency submit for clearance and settlement all eligible secondary market transactions in U.S. Treasury securities to which it is a counterparty. The compliance date was Mar. 18, 2024, for covered clearing agencies to file any proposed rule changes pursuant to Rules 17Ad-22(e)(6)(i), 17Ad-22(e)(18)(iv)(c), and 15c3-3, which must be effective by Mar. 31, 2025. With respect to the changes to Rule 17Ad-22(e)(18)(iv)(A) and (B), (i) covered clearing agencies were required to file any proposed rule changes regarding those amendments no later than June 14, 2024, and (ii) those changes must be effective by Dec. 31, 2025, for cash market transactions encompassed by section (ii) of the definition of an eligible secondary market transaction, and by June 30, 2026, for repo transactions encompassed by section (i) of the definition of an eligible secondary market transactions. Finally, the Commission amended the broker-dealer customer protection rule to permit margin required and on deposit with covered clearing agencies for U.S. Treasury securities to be included as a debit in the reserve formulas for accounts of customers and proprietary accounts of broker-dealers, subject to certain conditions. Compliance by the direct participants of a U.S. Treasury securities covered clearing agency with the requirement to clear eligible secondary market transactions is not required until Dec. 31, 2025, and June 30, 2026, respectively, for cash and repo transactions. See Treasury Clearing Adopting Release, section III.

the Tick Size and Access Fee Adopting Release,[703] and the Recovery/Wind-Down Adopting Release.[704]

1. Affected Entities

The entities primarily affected by the requirements include the filers or submitters of the affected documents and the users of the affected documents. Other affected entities include third

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701 Disclosure of Order Execution Information, Release No. 34-99679 (Mar. 6, 2024) [89 FR 26428 (Apr. 15, 2024)] ("Rule 605 Adopting Release"). The Commission adopted amendments to rules requiring disclosures for order executions in NMS stocks, including expanding the scope of reporting entities, modifying the scope of orders covered by the rule, and modifying the information required to be reported under the rule. The rule had an effective date of June 14, 2024, and, with a few exceptions, a compliance date of Dec. 14, 2025. See Rule 605 Adopting Release, section VII.

702 Regulation S-P: Privacy of Consumer Financial Information and Safeguarding Customer Information, Release Nos. 34-100155; IA-6604; IC-35193 (May 15, 2024) [89 FR 47688 (June 3, 2024)] ("Customer Notification Adopting Release"). The Commission amended Regulation S-P to require brokers, dealers, funding portals, investment companies, registered investment advisers, and transfer agents registered with the Commission or another appropriate regulatory agency to adopt written policies and procedures for incident response programs to address unauthorized access to or use of customer information. These must include procedures for providing timely notification to individuals affected by an incident involving sensitive customer information with details about the incident and information designed to help affected individuals respond appropriately. Among other things, the amendments also extended to transfer agents the requirements to safeguard customer records and information, and they broadened the scope of the information covered by those requirements. The compliance date for larger entities is Dec. 3, 2025, and June 3, 2026, for smaller entities. See Customer Notification Amendments, section II.F

703 Regulation NMS: Minimum Pricing Increments, Access Fees, and Transparency of Better Priced Orders, Release No. 34-101070 (Sept. 18, 2024) [89 FR 81620 (Oct. 8, 2024)] ("Tick Size and Access Fee Adopting Release"). These amendments introduce one minimum pricing increment that is less than $0.01, i.e., $0.005, for quotes and orders priced $1.00 or more for NMS stocks that have a time weighted average quoted spread of $0.015 or less. The amendments also reduce the access fee caps under Reg NMS Rule 610 and require national securities exchanges to make the amounts of all fees and rebates determinable at the time of trade execution. The amendments also accelerate the implementation of the round lot and odd-lot information definitions adopted in 2020 and add information about the best odd-lot order to the definition of odd-lot information. The amendments are effective Dec. 9, 2024. For Rules 610 and Rule 612, and the round lot definition, the compliance date will be Nov. 3, 2025. For odd-lot information, the compliance date will be May 1, 2026. See Tick Size and Access Fee Adopting Release, section VI.

704 Covered Clearing Agency Resilience and Recovery and Orderly Wind-Down Plans, Release No. 34-101446 (Oct. 25, 2024) ("Recovery/Wind-Down Adopting Release"). These amendments add new requirements related to the collection of intraday margin by a covered clearing agency ("CCA") and the use of substantive inputs in its risk-based margin system. They also establish required elements of a CCA's recovery and orderly wind-down plan. The effective date is Jan. 17, 2025. Each covered clearing agency will be required to file with the Commission any proposed rule changes required under Rule 19b-4 and any Advance Notices required under Title VIII of the Dodd-Frank Act and Rule 19b-4(n) no later than Apr. 17, 2025. The proposed rule changes and the Advance Notices must be effective by Dec. 13, 2025. See Recovery/Wind-Down Adopting Release, section III.

parties that may be involved with the preparation and filing or submission of the affected documents and in facilitating the use of structured data filed or submitted with the Commission, as well as parties that may indirectly benefit from the use of the affected documents by others.

Filers or Submitters of Affected Documents

Entities that file or submit the affected documents include SROs, including: national securities exchanges and exempt exchanges; notice-registered Security Futures Product Exchanges; registered national securities associations; and registered and exempt clearing agencies. Filers or submitters of the affected documents also include broker-dealers and SBS Entities (and certain affiliates thereof).[705]

Affected Documents and Affected Filers or Submitters

Affected Document	Type of Affected Filer or Submitter	Filer or Submitter Count
Form X-17A-5 Part III	Broker-dealers (including OTC derivatives dealers) and non-bank SBS Entities	3,267 as of 12/31/23
Form 17-H	Broker-dealers (including OTC derivatives dealers)	Approximately 241 as of 12/31/23
FOCUS Report Part II	Broker-dealers (including OTC derivatives dealers) and non-broker-dealer SBS Entities	486 as of 12/31/23
FOCUS Report Part IIA	Broker-dealers (including OTC derivatives dealers)	2,946 as of 12/31/23
FOCUS Report Part IIC	Bank SBS Entities	30 as of 6/21/2024
Form 1	National securities exchanges	24 as of 12/31/23
Form 1-N	Security futures product exchanges	2 as of 12/31/23

[705] Not all of the affected documents listed for a particular entity type below apply to every entity that falls within that entity type. For details on the subsets of affected entities that file or submit particular affected documents, see supra section IX. With particular respect to SBS Entities, the counts above include, as of June 21, 2024, 10 SBS Entities that relied on orders granting substituted compliance under Exchange Act Rule 3a71-6 in complying with the requirements under Exchange Act Rule 15fk-1, 9 non-bank SBS Entities that relied on orders granting substituted compliance under Exchange Act Rule 3a71-6 in complying with the reporting requirements under Exchange Act Rule 18a-7(c), and 19 SBS Entities that relied on orders granting substituted compliance under Exchange Act Rule 3a71-6 in complying with the notice requirements under Exchange Act Rule 15fi-3. See Substituted Compliance Notices, available at https://www.sec.gov/tm/Substituted-compliance-Notices.

Form X-15AA-1; Form X-15AJ-1; Form X-15AJ-2	Registered national securities associations	1 as of 12/31/23
Form CA-1	Registered and exempt clearing agencies	13 (11 operational) as of 12/31/23
Rule 17a-22 materials	Registered clearing agencies	8 (6 operational) as of 12/31/23
Form X-17A-19	National securities exchanges and registered national securities associations	25 as of 12/31/23
Form 19b-4(e)	National securities exchanges	24 as of 12/31/23
VDN	SBS Entities	53 as of 6/21/24
CCO Report	SBS Entities	53 as of 6/21/24
ANE Exception Notice	Majority-owned affiliates of Relying Entities that are either registered SBSDs or registered brokers that meets certain capital and other requirements	24 (estimated) as of 12/31/23

Users of Affected Documents

The entities that use (e.g., examine, store, analyze) each affected document vary based on whether the particular document is publicly available.[706] If a document is confidential, only the Commission (and, in certain cases, other regulators and regulatory organizations) will be able to directly access and use the documents. Documents that are not confidential will be publicly available, and as such can be directly used by public entities in addition to the Commission, such as investors and other market participants, financial and market analysts, financial press, and other regulatory agencies or organizations.[707]

Third-Party Service Providers

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706 See supra section IX.F. As stated above in section X.A, whether any filed material is confidential is determined pursuant to applicable law, including but not limited to the Freedom of Information Act and Commission rules governing requests for confidential treatment.

707 See, e.g., Arun Gupta, supra note 474 (Federal Reserve Board staff research paper using balance sheet data from Form X-17A-5 Part III to examine the internal capital markets of dealer banks); K. Srinivasan, The Securitization Flash Flood, (July 27, 2016; rev. June 4, 2024), available at https://papers.ssrn.com/sol3/papers.cfm?abstract_id=2814717 (academic research paper using data from Form X-17A-5 Part III to assess repo activities of large broker-dealers) (retrieved from SSRN Elsevier database).

In addition to the preparers and users of the affected documents, the other entities affected by the rule amendments are third-party service providers that assist in electronic filing and, in some cases, structuring, of regulatory documents and help facilitate the use of structured data. As discussed in further detail below, the cost to filers or submitters of the amended rules includes, in some instances, the cost of paying third-party service providers to prepare electronic and structured documents.[708] Conversely, such third-party service providers will benefit from increased demand for electronic filing and structured data services under the amended rules.

With particular respect to structured data, entities currently subject to structured data requirements under Commission rules often pay third-party service providers to structure their disclosures, or to license structuring compliance software that allows filers or submitters to structure their disclosures internally. The specific amounts paid to third-party providers of structured data compliance services and/or software vary significantly based on a number of factors, such as the particular filing or submission on which structured data is required, the number of data points to be structured, the size of the filer or submitter, the industry to which the filer or submitter belongs, the number of individual users of the structured data compliance software, and the extent to which the structuring is fully outsourced. For example, smaller reporting companies are particularly likely to fully outsource their structured data preparation requirements to third-party service providers, leading to different cost dynamics than other companies that license third-party structured data preparation software and structure their disclosures in-house.[709] Based on the Staff's understanding of third-party structured data

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708 See infra section X.C.2.b.

709 See supra note 246 (stating that "for the sake of compliance, many firms, especially smaller firms that lack extensive resources, have outsourced the creation and filing process…"). See also infra section X.C.2.b (discussing a cost survey conducted by the Association of International Certified Professional Accountants,

compliance pricing, smaller filers typically pay between $1,500 and $5,000 per year for third-party structured data compliance services and/or software, while larger filers typically pay between $5,000 and $30,000 per year for such services and/or software.[710]

In some cases, rather than use a third-party structured data compliance service or software provider, filers or submitters will have already structured their data in-house, independently of any Commission disclosure requirements. For example, rather than paying third-party structured data compliance service providers, some filers or submitters use ERP systems or other data management platforms that include a data structuring component.[711] In some instances, filers or submitters of a custom XML document may already be using Inline XBRL to structure similar data for internal business purposes (such as through the use of ERP systems).[712] Furthermore, companies that are affiliated with one another may be able to leverage each other's compliance software licenses or service agreements and experience in complying with the structured data requirements.

In addition, with particular respect to custom XML requirements on EDGAR forms, some filers or submitters may comply by inputting their disclosures into fillable web forms on the EDGAR website; EDGAR then converts these inputted disclosures into the applicable

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in which 1,032 smaller reporting companies reported full outsourcing of their XBRL structuring requirements).

710 Some compliance service providers publicly disclose or advertise pricing information on their websites. See, e.g., EDGAR Filing Services, ADVANCED COMP. INNOVATIONS, INC., http://www.edgar-services.com/ (last visited Apr. 3, 2024). Other compliance service providers do not publicly disclose pricing information on their websites, instead requiring individual pricing consultations. See also infra section X.C.2.b.

711 See, e.g., Feng Guo et al.; Enterprise Resource Planning Systems and XBRL Reporting Quality, 35 J. INFO. SYS. 77, Sept. 1, 2021 (defining ERP systems as "large-scale, modularly packaged information systems that have been widely adopted by midsize and larger firms in recent decades" and stating that "most ERP systems integrate an eXtensible Business Reporting Language (XBRL) component in their core modules…").

712 See supra sections II.A.3 and II.D.5.

custom XML data language. In such instances, filers or submitters forgo the cost of paying third-party structured data compliance service providers. With respect to the rule amendments, because use of the fillable form permits filers or submitters to forgo the costs of structuring, we expect most entities affected by the custom XML requirements will opt to use fillable forms rather than structure directly in custom XML.

Other filers or submitters of custom XML documents choose not to use the fillable web form; instead, they structure their disclosures in the applicable custom XML data language and file or submit that structured custom XML document on EDGAR. These filers or submitters typically incur implementation costs to integrate any new or updated custom XML schemas into their data systems, and then incur decreased structured data costs after such integration. Such filers or submitters may find direct submission in custom XML beneficial, because it allows for greater automation for filing or submitting already structured data without the need for a final manual step of converting structured data into unstructured text to be typed into fillable web fields. For this reason, the Commission expects the SROs that file Form 1 and Form CA-1, because they are likely to have existing data management systems (or have the internal resources and technical capability to establish such systems) that cover some of the disclosures required to be structured in custom XML, will opt to structure disclosures directly in custom XML rather than using the fillable EDGAR web form.[713] Nonetheless, providing both the fillable web form option and the direct custom XML structuring option for the custom XML requirements in the rule, as is done for most other custom XML forms on EDGAR, will provide useful flexibility for any current or future affected entities that opt to take an approach that differs from our

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[713] Such disclosures could include, for example, schedules of fees (Exhibit H to Form 1), lists of participants or applicants for participation (Exhibit N to Form CA-1), and schedules of traded securities (Exhibit N to Form 1).

preliminary assumptions, without compromising the usefulness and accessibility of the resulting disclosures.

While not required for structured data use, some data users (including some investors and analysts) pay third-party service providers for software that can facilitate their usage and analysis of structured data. As with structured data compliance, the specific amounts paid for third-party structured data research software vary significantly based on a number of factors, such as the number of individual software users, whether the user is an individual or an enterprise, and the particular type of functionality offered. Based on the Staff's understanding of third-party structured data research software pricing, data users typically pay between $1,000 and $15,000 per year for third-party structured data research software.[714] Other data users, especially those with more technical experience and sophistication, import structured data into their own systems and analyze the data without paying for third-party software.[715]

2. Paper and Limited Electronic Submission

Certain of the affected documents are currently filed or submitted in paper format. Specifically, the Commission's regulatory framework requires an entity seeking to be registered as a national securities exchange, as a clearing agency, or as a security futures product exchange, to file in a paper-based format certain forms that are mandated by rules under the Exchange Act. Filers are also required to submit paper-based amendments to their respective forms. The forms

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[714] Some research service providers publicly disclose or advertise pricing information on their websites. See, e.g., CALCBENCH, https://www.calcbench.com/payment/pricing (last visited Apr. 3, 2024); TAGNIFI, https://about.tagnifi.com/pricing/ (last visited Apr. 3, 2024); FINDYNAMICS, https://findynamics.com/subscriptions/ (last visited Apr. 3, 2024). Other research service providers do not publicly disclose pricing information on their websites, instead requiring individual pricing consultations.

[715] Structured data filed with or submitted to the Commission (other than structured data filed or submitted on non-public documents) are freely available to access and download. See DERA Data Library, available at https://www.sec.gov/dera/data; Structured Disclosure RSS Feeds, available at https://www.sec.gov/structureddata/rss-feeds-submitted-filings.

required to be filed in paper format include Forms 1, 1-N, X-15AA-1, X-15AJ-1, X-15AJ-2, CA-1. Form 19b-4(e) also is required to be submitted in paper format. In addition, paragraphs (d)(6) of Rule 17a-5 and (c)(6) of Rule 18a-7 provide that broker-dealer and SBS Entity annual reports, respectively, must be sent to the Commission's principal office in Washington, DC, and appropriate regional office or they may be submitted to the Commission electronically in accordance with directions provided on the Commission's website. Some broker-dealers voluntarily file annual reports electronically on EDGAR,[716] and instructions for doing so are posted on the Commission's website. For the 12 months ending December 31, 2023, the Commission received 1,498 filings of the annual reports in paper form and 1,769 electronically via EDGAR. The proportion of annual reports filed electronically has been steadily increasing over the years since it was first permitted in 2015.

OTC derivatives dealer annual reports filed under Rule 17a-12 must be filed at the Commission's principal office under paragraph (p) of that rule. Further, Rule 17h-2T permits quarterly and annual risk assessment reports to be filed with the Commission in paper-based format, and Rule 17a-19 currently requires every national securities exchange and registered national securities association to file a Form X-17A-19 with the Commission in paper format at its principal office. In some circumstances, the Commission's regulatory framework requires or permits submission of documentation by email. Specifically, Exchange Act Rule 3a71-3(d)(1)(vi) requires the Registered Entity to provide the ANE Exception Notice by submitting it

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[716] We note that Commission staff previously stated that it would not recommend enforcement action to the Commission under Rule 17a-5 or Rule 17a-12 if a broker-dealer or OTC derivatives dealer files the annual and supplemental reports required under those rules electronically through the EDGAR system in accordance with the instructions and conditions contained on the Commission's website in lieu of filing them with the Commission in paper form. See Letter to Kris Dailey Vice President, Risk Oversight and Operational Regulation, FINRA, from Michael Macchiaroli, Associate Director, Division, Commission (Jan. 27, 2017), available at https://www.sec.gov/divisions/marketreg/mr-noaction/2017/finra-012717-electronic-filing-annual-reports.pdf.

to the electronic mailbox described on the Commission's website. Further, notices made pursuant to Rule 15fi-3(c) may be made via email or on EDGAR. Annual compliance reports provided pursuant to Rule 15fk-1(c) may be submitted by an SBS Entity as a paper or electronic submission.

In addition, current Rule 17a-22 under the Exchange Act requires that within 10 days after issuing, or making generally available, to its participants or to other entities with whom it has a significant relationship, such as pledgees, transfer agents, or self-regulatory organizations, any material (including, for example, manuals, notices, circulars, bulletins, lists or periodicals), a registered clearing agency shall file three copies of such material with the Commission.[717] Commission staff, however, released the Staff Statement on COVID-19 flexibility in early April 2020 and updated it in June 2020. Since that time, consistent with the Updated Staff Statement, filers and registrants have made alternate arrangements for the delivery, execution, and notarization of certain filings, including filings to be made pursuant to Rule 17a-22.[718] These alternate arrangements have included electronic submission, similar to what is being adopted.

When a paper filing is received, the Commission staff scan it into PDF format, and upload it to EDGAR or make it available to Commission staff. For some filings, such as broker-dealer's annual reports, this process can take an average of several weeks from the date of receipt of a paper filing until it is scanned and the public portion published on EDGAR, and the confidential portion is available to Commission staff.

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[717] 17 CFR 240.17a-22.

[718] Division Staff Statement Regarding Requirements for Certain Paper Submissions in Light of COVID-19 Concerns (Apr. 2, 2020), available at https://www.sec.gov/tm/paper-submission-requirements-covid-19; see also Updated Staff Statement, supra note 7.